FREE FINANCING REPORT

# Student Housing Financing Report

*Why This Sector Remains a Distinct, Well-Capitalized Niche, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals*

**Prepared by K2 Commercial Finance**

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# Why Sponsors Pursue Student Housing Financing

Student housing has carved out a durable, demographically anchored niche within multifamily, and 2026 is a year of genuine bifurcation — strong markets are pre-leasing ahead of schedule while others cool off. That combination — enrollment still growing nationally, absorption outpacing new deliveries, and a lending market that continues to expand its participation — is exactly why student housing financing remains a viable, well-supported category for experienced operators at the right university.

- **National enrollment keeps growing.** Fall 2025 enrollment reached 4.9 million students, up 1.8% year-over-year, providing the underlying demand base for the sector.
- **Demand is outpacing new supply nationally.** 2025 saw approximately 146,300 beds of demand against just 100,800 beds delivered — a 1.45x absorption ratio — with construction starts slowing meaningfully relative to the prior cycle.
- **Pre-leasing momentum is broadly positive.** Preleasing for the 2026-27 academic year reached 78% by May 2026 (up 140 basis points year-over-year) across the Yardi 200, with 113 of 178 tracked markets outpacing the prior year's pace.
- **Agency lenders are expanding their footprint.** Both Freddie Mac and Fannie Mae are continuing to expand their presence in student housing, adding to the capital sources available beyond specialized lenders.
- **Transaction volume has rebounded meaningfully.** 2025 investment volume reached $8.78 billion, up 48% from the 2023 trough of $5.93 billion, signaling renewed institutional confidence in the sector.

That said, this is genuinely a market of haves and have-nots. Top-50 markets averaged 92.1% pre-leasing while bottom-50 markets averaged just 54%, and properties tied to schools with softening enrollment can see rent declines exceeding 10% year-over-year. Lenders underwrite enrollment trend and pre-leasing velocity closely — strong universities with proven demand continue to finance far more easily than secondary schools with uncertain enrollment.

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# 2026 Market Outlook for Student Housing Financing

Student housing enters the 2026-27 academic year navigating a genuinely bifurcated market — national fundamentals remain healthy in aggregate, but performance diverges sharply by institution and market tier. The following figures outline where the market stands:

- Preleasing for the 2026-27 academic year reached 78% by May 2026 across the Yardi 200 (up 140 basis points year-over-year), though the gap between strong and weak markets is stark: top-50 markets averaged 92.1% pre-leasing while bottom-50 markets averaged just 54%.

  *Source: Yardi Matrix, Student Housing Market Report, June 2026*

- Rent growth has slowed meaningfully from the prior cycle: average advertised rent per bed ran $933 in May 2026, up just 1.7% year-over-year, with leasing-season growth for 2026-27 averaging only 0.9% (Yardi Matrix) to 0.2% (Walker & Dunlop, using a slightly different methodology) versus 2.6% to 3.6% growth the prior year — though high-growth markets still saw increases averaging 6.7%, even as weak markets averaged declines of 4.1% to 4.6%.

  *Source: Yardi Matrix, June 2026; Walker & Dunlop, Student Housing Outlook 2026*

- New supply continues to lag demand nationally: 2025 deliveries totaled approximately 100,800 beds against 146,300 beds of demand, a 1.45x absorption ratio, with construction starts slowing meaningfully relative to the prior cycle.

  *Source: Walker & Dunlop, Student Housing Outlook 2026*

- Cap rates have compressed modestly but face a mixed forward outlook: the 2025 average cap rate ran approximately 6.1%, compressed from 6.35% in mid-2024, though Walker & Dunlop forecasts mild cap-rate expansion in 2026 as the rent-growth reset filters through valuations, with supply-heavy markets potentially seeing 25 to 75 basis points of widening.

  *Source: Walker & Dunlop, Student Housing Outlook 2026*

- Investment activity has rebounded but remains selective: 2025 transaction volume reached $8.78 billion, up 48% from the 2023 trough of $5.93 billion, though individual property trades through May 2026 were running 44% below the same period in 2025, with average pricing around $68,300 to $137,000 per bed depending on market and property quality.

  *Source: Yardi Matrix, June 2026; Walker & Dunlop, 2026*

- Lending remains available but increasingly disciplined: agency lenders (Fannie Mae and Freddie Mac) continue expanding their presence in eligible student housing, while construction financing remains selective, particularly in markets with elevated supply pipelines, with lenders placing heavy emphasis on in-place cash flow, lease-up visibility, and supply pipeline exposure.

  *Source: Walker & Dunlop, Student Housing Outlook 2026*

> **Bottom line for 2026:** This is a market of genuine haves and have-nots — strong universities with growing enrollment continue to pre-lease ahead of schedule and

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# Critical Financing Metrics for Student Housing Properties

Lenders in this space underwrite enrollment trend and leasing velocity as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Enrollment Trend at the Primary Institution**
   Multi-year enrollment trend at the university or college the property serves. Individual school trend varies widely and drives the underlying demand story.
   national enrollment +1.8% YoY (Fall 2025)

2. **Pre-Leasing Velocity**
   Pre-leasing progress for the upcoming academic year relative to the same point in the prior cycle. Top-tier markets ran above 92% while weaker markets lagged near 54%.
   ~78% national pre-leasing (May 2026)

3. **Proximity and Competitive Position Relative to Campus**
   Walking distance, amenities, and competitive standing relative to other student housing and on-campus options serving the same university.

4. **Rent Roll Structure and Parent Guarantees**
   Bed or unit-level lease terms, and the presence of parent guarantees, which meaningfully strengthen income durability for many lenders.

5. **Local Supply Pipeline**
   New and planned competitive supply in the market, given that construction and lease-up financing remain especially selective in supply-heavy submarkets.

6. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service. 1.25x typical minimum

7. **Loan-to-Value**
   Leverage available through agency, bank, and specialized student housing channels.
   up to 75%–80% LTV stabilized

These metrics form the practical filter that separates student housing financing requests that get funded from those that stall in underwriting.

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# Practical Framework & Getting It Right the First Time

## Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Current rent roll by bed or unit, including lease terms and any parent guarantees, is organized
- [ ] Trailing occupancy and income performance, ideally by academic year, is documented
- [ ] Pre-leasing status for the upcoming academic year is current
- [ ] Enrollment and demand data for the primary institution(s) are prepared
- [ ] Property details (bed count, unit mix, amenities, distance to campus) are ready
- [ ] Management/operator experience in student housing is summarized
- [ ] Market and competitive supply analysis is gathered
- [ ] Existing debt schedule, entity documents, and borrower/sponsor liquidity information are current

## Common Reasons Student Housing Financing Requests Underperform or Get Declined

- Missing or incomplete pre-leasing data
- Weak or uncertain enrollment support for the primary institution
- Lack of relevant student housing operating experience
- Elevated local supply pipeline not clearly addressed
- Submitting to lenders unfamiliar with the academic leasing cycle

## Final Perspective

Student housing financing in 2026 sits inside a genuinely bifurcated market — national demand still outpaces new supply, but performance now diverges sharply between strong universities with growing enrollment and schools facing softer demand. The properties that finance most easily are the ones tied to institutions with a documented, defensible enrollment and pre-leasing trend, not just favorable national-level statistics.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing pre-leasing data, weak enrollment support, and mismatched lenders are among the most common reasons otherwise solid student housing financing requests lose time, money, and momentum.

YOUR NEXT STEP

# How the K2 Lender-Ready System Helps

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